

but this is not based on the label alone.

Customs authorities apply the substantial transformation test: Has the product significantly changed during production, or was it simply assembled from pre-made parts? In electronics, where components often originate from various countries, this distinction is critical. Assembly alone—such as fitting together Chinese-made chips, PCBs, and displays—does not usually qualify as manufacturing, even if the final device ships from India.

Mislabelling or misclassifying origin can trigger heavy tariffs, penalties, and reputational damage. As global trade enforcement tightens, particularly in the tech sector, understanding and documenting genuine manufacturing processes has never been more essential.

Consider the example of an Indian factory assembling laptops using Chinese PCBs and chips. Despite final assembly in India, the US may deem the product as Chinese in origin, subjecting it to a 125% tariff, an additional 20%, and other duties. Misclassification could lead to confiscated shipments, steep penalties, and legal repercussions.

India's rising role in the electronics supply chain

Global trade is undergoing a dramatic realignment. With each new tariff imposed, the path widens for India to step into a role long dominated by China. Chinese

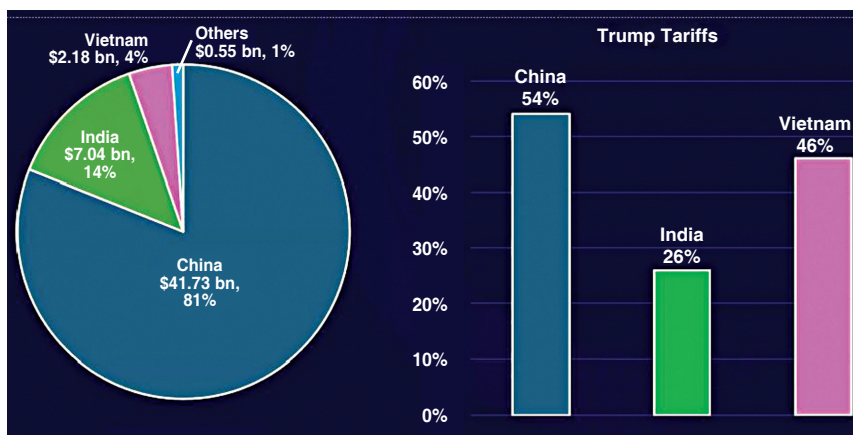


Fig. 6: Major exporters of smartphones (8517130000) to the USA

manufacturers have historically led US electronics imports, with smartphones alone accounting for a staggering 81% share of the US market in 2023—a business worth \$41.5 billion. In contrast, India claimed a modest 14%, but the tides are shifting. As the US increases tariffs on Chinese smartphones (now facing duties as high as 125%) and imposes significant levies on imports from Vietnam (46%), Thailand (36%), and Indonesia (32%), India's position in the global supply chain is becoming increasingly strategic.

However, success is not just about producing goods but mastering global supply chain complexity. In electronics, the origin of a product is not always determined by its final assembly location. A single device might contain resistors from Taiwan, microchips from China, and capacitors from Japan,

even if assembled in India. When the finished product arrives at US customs, the critical question remains: Where is it truly from?

If customs deems the product to be 'substantially' Chinese in origin, any price advantage can be erased by a mountain of tariffs, including the 125% China-origin tariff, 20% general duties, Section 301 penalties, and potential anti-dumping duties.

Strategic planning becomes essential for any manufacturer navigating the maze of global trade. Companies must avoid assuming that simple assembly qualifies as manufacturing, steer clear of superficial modifications, comply strictly with sanctions, and be wary of low pricing that may trigger anti-dumping investigations. The difference between profit and penalty often comes down to smart origin planning, thorough component sourcing documentation, and proactive legal guidance.

For India, this is more than just an export opportunity—it is a chance to cement its status as a global manufacturing powerhouse. As China's footprint shrinks under mounting trade restrictions, Indian manufacturers face a rare opportunity to scale, innovate, and meet global demand directly. The supply chain is shifting—and the pressing

Why the US tariff game is not over

- **Section 301 tariffs.** Still active on \$300 billion worth of Chinese goods, including key electronic components.
- **IEEPA emergency duties.** Additional 20% slapped on China/Hong Kong goods—non-refundable for exporters.
- **De Minimis exemption gone.** For China, even low-value imports now attract heavy duties.
- **Reciprocal tariffs.** Duties vary by country, based on US trade deficit formulas.
- **Country of origin scrutiny.** Multi-country sourcing can trigger unexpected tariffs.